

Hang and Antonio Sanchez

Debt Recovery & Wealth Rebuilding Plan | November 2025

Executive Summary: The Honest Truth

You Are In Debt Crisis Recovery Mode

Previous plans missed this reality. With \$167,008 enrolled in debt settlement, \$12,236/month in fixed expenses, zero liquid cash, and no emergency fund, you're not ready for wealth building yet. This plan addresses where you actually are and provides a realistic 24-36 month path to financial stability.

Your Current Situation

Income: \$200,000-\$299,000 household (W-2 + 1099)

Monthly Fixed Expenses: \$12,236

Liquid Cash: \$0

Emergency Fund: None (target: 1 month)

Non-Mortgage Debt: \$50,000+ acknowledged (actually much higher)

Total Debt in Settlement: \$167,008 enrolled

Credit Score: 760+ (surprisingly strong)

Retirement Accounts: \$250,000+ (protected, don't touch)

Home Equity: \$200,000+

Time Available: 0-2 hours/week

Year-One Value: Cash Flow Improvement

Conservative Scenario: \$23,200 - \$38,400 freed for debt payoff

Aggressive Scenario: \$38,400 - \$51,000 freed for debt payoff

These are not income gains. These are cash flow improvements from tax strategies, expense cuts, and interest avoided. Your "return on investment" is the high-interest debt you eliminate.

Current Position: The Complete Picture

You're making good income but you're completely broke. Here's why: your debt service and fixed expenses consume almost everything you bring home. Let's map out exactly what you're dealing with.

Complete Debt Inventory

Debt Type	Balance	Monthly Payment	Status & Timeline
SoFi Bank Settlement	\$17,032 (settled from \$37,848)	\$544	Interest-free, 36 payments remaining Ends July 2028
Citi Settlement	\$7,388 (settled from \$16,417)	\$363	Interest-free, 24 payments remaining Ends August 2027
SoFi Personal Loan	\$13,207	\$322	Active, standard amortization

Debt Type	Balance	Monthly Payment	Status & Timeline
Balance Transfer (0% APR)	\$17,000	\$0 currently	URGENT: Must pay off before promo expires Timeline unknown
Chase Ink Business (0% APR)	\$4,500	\$0 currently	Promo expires October 2026 Must eliminate by September 2026
Mortgage	\$158,581	\$3,145 PITI	7.49% APR, 30-year conventional Originated November 2023
Rivian Payment MUST ELIMINATE	\$60,000-\$80,000 est.	\$800-\$1,200 est.	Luxury EV you cannot afford Sell or return immediately
Unsettled Debt (In Program)	~\$119,000	Building reserves	Awaiting settlement negotiations Timeline: 12-24 months
Current Monthly Debt Obligations			\$5,174+ minimum (\$3,145 mortgage + \$1,229 settlements/loans + \$800-1,200 Rivian)

Settlement Program Fee: You will owe 15% of the total \$167,008 enrolled (\$25,051) to the settlement company as debts are negotiated. Clarify with them whether this is paid per settlement or at the end of the program.

What Went Wrong

Based on your credit card statements and loan documents:

- You accumulated debt at 19.99% APR on purchases and 28.99% on cash advances
- You paid \$1,649 in interest charges in a single year on one card alone
- You took out \$161,542 at 7.49% in November 2023 (cash-out refinance or purchase) while carrying high consumer debt
- You financed or leased a Rivian electric vehicle at \$800-1,200/month while in debt crisis
- Your debt-to-income ratio became unsustainable

The good news: You negotiated settlements that cut two major debts by more than 50%. You have \$250k+ in retirement savings. You have \$200k+ in home equity. Your credit score is still 760+. You have the income to fix this.

The bad news: You still have 24-36 months of disciplined debt elimination ahead before you can start wealth building.

30-Day Launch Checklist: Immediate Actions

These actions stop the bleeding and set up your recovery systems. Do these in order.

Week 1: Emergency Triage

- ☐ **Sell or return the Rivian immediately.** This is non-negotiable. Call the lender for payoff amount. Get instant offers from Carvana, CarMax, and Vroom. If upside down, negotiate the gap or trade to a reliable \$10-12K used vehicle (2015-2018 Honda Civic, Toyota Corolla, Mazda3). If leased, contact Rivian about lease transfer or early termination. **Cash flow gain: \$800-1,200/month**
- ☐ **Open three-account system.** Open Bills, Spend, and Safety accounts. Move all autopays to Bills account. Set up auto-transfer of \$200-500 per payday to Safety until you reach \$2,000.
- ☐ **Calculate actual monthly cash flow.** Write down actual take-home pay (W-2 + 1099 after taxes). Subtract all fixed expenses. What's left is available for accelerated debt payoff. Be brutally honest.
- ☐ **Call your debt settlement company.** Get answers: (1) Exact timeline for when they'll negotiate the remaining \$119K, (2) How the 15% fee is paid, (3) What your monthly reserve-building payment should be, (4) Whether settlements are paid interest-free.
- ☐ **Identify the balance transfer expiration date.** Find out when the 0% APR expires on the \$17K balance transfer. This is your most urgent payoff target after the Rivian.

Week 2: Business Structure & Tax Documentation

- ☐ **Confirm LLC status and open business checking.** You indicated single-member LLC already formed. Open a dedicated business checking account if not done. Never commingling personal and business funds.

- ❑ **Set up bookkeeping.** Connect QuickBooks Self-Employed or Zoho Books. Categorize the last 60 days of activity. Set up rules for recurring transactions.
- ❑ **Create Accountable Plan document.** This allows the LLC to reimburse you tax-free for business expenses. Your CPA can provide a template, or use one from IRS Publication 463. Document business use percentages for phone (30-50%), internet (20-40%), and home office.
- ❑ **Measure home office space.** Calculate square footage of dedicated office space. Take photos. Research simplified method (\$5/sq ft up to 300 sq ft) versus actual method (% of housing costs). Choose the one that saves more.
- ❑ **Start mileage tracking.** Download MileIQ, Everlance, or use a simple spreadsheet. Log business mileage starting today. 2025 IRS rate: \$0.70/mile. Every business mile = \$0.70 deduction.

Week 3: W-4 Optimization & Payment Systems

- ❑ **Adjust W-4 for break-even withholding.** Use IRS Tax Withholding Estimator. Goal: break even at tax time (no refund, no payment due). This frees up cash monthly instead of giving IRS an interest-free loan. **Monthly gain: \$200-600**
- ❑ **Set up 30% tax set-aside for 1099 income.** Open a separate savings account. Auto-transfer 30% of every 1099 deposit. This covers federal, state, and self-employment tax. Pay quarterly estimates by IRS deadlines.
- ❑ **Make first Accountable Plan reimbursement.** Invoice your LLC for October/November business expenses (phone, internet, mileage, home office). Pay yourself from the business account. Keep receipts and documentation.
- ❑ **Verify all settlement autopays.** Confirm SoFi \$544/month and Citi \$363/month are on auto-pay. Missing a payment can void the settlement agreement.

Week 4: Debt Attack Plan & Augusta Setup

- **Create debt payoff spreadsheet.** List all debts, balances, interest rates, minimum payments, and payoff dates. Calculate how much extra you can throw at debt after Rivian elimination. Use debt avalanche method (highest rate first, but 0% APR balances before they expire).
- **Set up sinking funds for property taxes and insurance.** Divide annual property tax and home insurance by number of paychecks. Auto-transfer to Bills account each payday. Never get surprised by these bills again.
- **Build Augusta Rule calendar.** Plan 12-14 business meetings at your home in 2025 (board meetings, planning sessions, client meetings if applicable). Research fair market value for comparable meeting space rentals in your area (hotels, coworking spaces). Keep agendas and minutes.
- **Set up first weekly Money Friday.** Every Friday, 10 minutes: (1) Check that all autopays cleared, (2) Sweep any extra cash to target debt, (3) Update debt payoff spreadsheet, (4) Celebrate progress.

Tax Optimization Playbook: Free Up Cash for Debt

These strategies reduce your tax bill so you have more cash to throw at debt. Assuming \$250,000 combined household income (mid-point of \$200-299K), your marginal tax rate is approximately 24% federal + 6-8% state = 30-32% total.

Year-One Tax Strategies

Strategy	Annual Value	Implementation
1. Accountable Plan Reimbursements Phone, internet, home office, mileage	\$1,500 - \$3,000	Monthly reimburse business expenses from LLC with documentation. Phone 30-50% business use, internet 20-40%, mileage at \$0.70/mile (2025 IRS rate). LLC deducts expenses, you receive tax-free reimbursement.
2. Home Office Deduction Simplified or actual method	\$800 - \$1,500	Simplified: \$5/sq ft up to 300 sq ft (max \$1,500). Actual: business % of mortgage interest, property tax, utilities, insurance, repairs. Choose annually based on which yields more. Requires dedicated office space used exclusively for business.
3. Vehicle Deduction Business mileage	\$1,000 - \$2,500	Track all business miles (vending, cohosting, client meetings, errands for business). Multiply by \$0.70/mile for 2025. Must keep contemporaneous mileage log. Example: 3,000

Strategy	Annual Value	Implementation
		business miles $\times$ \$0.70 = \$2,100 deduction.
4. QBI Deduction 20% of qualified business income	\$1,500 - \$5,000	Automatic deduction of up to 20% of your 1099 profit. Applies to pass-through business income from LLC. Now permanent (2025 tax reform). Phase-out begins at \$394,600 for married filing jointly, so you qualify for full deduction. Example: \$25K profit $\times$ 20% $\times$ 30% tax rate = \$1,500 savings.
5. Augusta Rule Rent home to LLC 14 days/year	\$1,500 - \$4,000	LLC pays you fair market value rent for up to 14 days of business meetings at your home. Tax-free income to you, deductible expense for LLC. Keep meeting agendas, minutes, and 3 FMV comps from local hotels/coworking spaces. Example: 12 days $\times$ \$350/day = \$4,200 tax-free.
6. W-4 Withholding Optimization Break-even refund strategy	\$2,400 - \$7,200	Adjust W-4 so you owe \$0 and get \$0 refund at tax time. Stops giving IRS interest-free loan. Frees up \$200-600/month for debt payoff. Use IRS Tax Withholding Estimator to calculate correct number of allowances.
7. Tangible Property Rules Expense items $\leq$ \$2,500	\$300 - \$800	Expense (don't depreciate) purchases of business equipment/furniture $\leq$ \$2,500

Strategy	Annual Value	Implementation
		per invoice. Computers, office furniture, tools. Apply 12-month rule for eligible prepaids (insurance, subscriptions).
8. Homestead Exemption Reduce property tax assessment	\$300 - \$800	File homestead exemption if you haven't already. Reduces property tax assessment. Available in most states. Simple form, big savings.
9. Property Tax Appeal Challenge assessed value	\$200 - \$800	Order CMA (comparative market analysis) from realtor. If home is over-assessed, file appeal with county assessor during appeal window. Present comps showing lower values. Can reduce annual property tax.
Total Annual Tax Savings		\$9,600 - \$25,600 Cash freed for debt payoff, not locked in refund

Strategies NOT Included (Too Early)

- **Solo 401(k) contributions:** Cash is needed for debt elimination, not retirement. You have \$250K+ already. Focus on that after debt is cleared.
- **Cost segregation on rental property:** You don't have a rental property yet. Not relevant until you're in wealth-building phase.
- **STR/Airbnb arbitrage:** You have 0-2 hours/week available and zero capital. Not realistic during debt recovery.
- **Health Savings Account (HSA):** Only if you switch to HDHP. Evaluate during open enrollment, but not a priority.

- **Equipment Section 179:** Only if you need business equipment. Don't buy things just for the deduction.

24-Month Debt Elimination Roadmap

This is your primary focus for the next two years. Wealth building starts in Month 30-36 once consumer debt is eliminated.

Phase 1: Stabilization (Months 1-6)

Month 1 (November 2025)

- Sell or return Rivian (frees \$800-1,200/month)
- Establish three-account system (Bills, Spend, Safety)
- Move all autopays to Bills account
- Get clarity on balance transfer expiration date
- Build first \$1,000 of emergency fund

Months 2-3 (December 2025 - January 2026)

- Emergency fund reaches \$2,000
- All settlement payments made on time (SoFi \$544 + Citi \$363 = \$907/month)
- SoFi personal loan payment current (\$322/month)
- Start aggressive payoff of \$17K balance transfer
- Monthly reimbursements from Accountable Plan started
- W-4 adjustment takes effect (extra \$200-600/month cash flow)

Months 4-6 (February - April 2026)

- **Goal: Pay off \$17K balance transfer before 0% expires**
- Allocate \$2,500-3,000/month from Rivian savings + W-4 optimization
- Emergency fund grows to \$3,500-5,000
- All settlement obligations remain current

- First quarterly estimated tax payment made (April 15)

Phase 2: Debt Elimination (Months 7-18)

Months 7-12 (May - October 2026)

- **Balance transfer PAID OFF (first major win!)**
- Target Chase Ink \$4,500 next (must clear before October 2026 promo expires)
- Begin attacking SoFi personal loan (\$13,207 remaining)
- Allocate extra \$500-800/month to SoFi loan
- Emergency fund reaches \$5,000-6,000
- Settlement payments continue (SoFi \$544 + Citi \$363 = \$907/month)
- Check with debt settlement company on remaining \$119K timeline

Months 13-18 (November 2026 - April 2027)

- **Chase Ink PAID OFF (second win!)**
- Accelerate SoFi personal loan payoff
- Redirect all freed cash to SoFi loan
- Target payoff: Spring 2027
- Emergency fund reaches \$7,000-8,000
- Settlements continue on schedule

Phase 3: Settlement Completion (Months 19-30)

Months 19-24 (May - October 2027)

- **SoFi personal loan PAID OFF (third win!)**
- **Citi settlement COMPLETES (August 2027 - saves \$363/month)**
- Total freed cash flow: \$685/month (\$322 SoFi + \$363 Citi)
- Focus on remaining unsettled debts in settlement program

- As settlements are negotiated, pay them off aggressively
- Emergency fund reaches \$10,000

Months 25-30 (November 2027 - April 2028)

- Unsettled debts in program getting negotiated and paid off
- Pay 15% settlement company fee as deals close
- Only SoFi settlement remains (\$544/month through July 2028)
- Emergency fund reaches \$12,000+
- Start researching wealth-building strategies for post-debt phase

Phase 4: Freedom & Wealth Building (Months 31-36)

Months 31-36 (May - October 2028)

- **SoFi settlement COMPLETES (July 2028 - final payment!)**
- **ALL CONSUMER DEBT ELIMINATED**
- Only mortgage remaining (\$158,581 at 7.49%)
- Cash flow freed: \$1,229/month (settlement + personal loan payments gone)
- Plus Rivian savings: \$800-1,200/month
- **Total freed: \$2,029-2,429/month for wealth building**
- NOW you can start: Bitcoin DCA, kids' 529s, maxing 401(k), real estate investing

Investment Strategy: Debt Payoff IS Your Investment

Every dollar you pay toward high-interest debt earns a guaranteed return equal to that interest rate. Your "investment allocation" for the next 24 months is 100% debt elimination.

Current Priority Allocation

Priority	Monthly Target	Purpose
1. Emergency Fund	\$200-500	Build to \$5,000 to prevent new debt from emergencies. Once reached, pause and redirect to debt.
2. Rivian Elimination	Sell ASAP	Frees \$800-1,200/month immediately. Non-negotiable.
3. Required Settlements	\$907 (fixed)	SoFi \$544 + Citi \$363. Cannot miss these or settlement voids.
4. SoFi Personal Loan	\$322 (minimum)	Standard monthly payment. Accelerate with extra once 0% debts clear.
5. Balance Transfer \$17K	\$2,500-3,000	URGENT. Pay off before 0% expires. Use Rivian savings + W-4 optimization.
6. Chase Ink \$4,500	Pay by Sept 2026	Clear before October 2026 expiration. About \$500/month for 9 months.
7. Unsettled Debts	As negotiated	~\$119K awaiting settlement. Company builds reserves. Pay aggressively as settled.
8. Bitcoin DCA Psychology only	\$25-50 (optional)	ONLY if you're ahead of debt targets. Keeps wealth-building dream alive. Not a priority.

Priority	Monthly Target	Purpose
9. Kids' 529s	\$0 for now	Start \$25-50 each when past Phase 2 (Month 18+). Not before.

When You CAN Start Wealth Building (Month 31+)

Once consumer debt is eliminated and you have \$12,000+ emergency fund, THEN allocate the freed \$2,029-2,429/month as follows:

Category	% Allocation	Monthly Amount	Purpose
Bitcoin DCA	30-40%	\$600-1,000	Long-term wealth accumulation. Buy via River or Swan. Hardware wallet after 0.1 BTC.
Kids' 529 Plans	10-15%	\$200-300	\$100-150 per child. Tax-advantaged education savings.
Roth IRA (Both Spouses)	25-30%	\$500-700	\$7,000/year limit each = \$14,000 total. Tax-free growth.
Extra Mortgage Principal	15-20%	\$300-500	Pays down 7.49% mortgage faster. Guaranteed 7.49% return.
Real Estate Down Payment	10-15%	\$200-300	Build capital for investment property or STR down payment.

Do NOT attempt wealth building strategies until debt is under control. You cannot build wealth while bleeding cash to high-interest debt and having zero emergency fund.

Year-One Value Breakdown

These are CASH FLOW improvements that free up money for debt payoff. This is not income. This is not wealth. This is breathing room.

Conservative Scenario (\$23,200 - \$38,400)

Source	Low Estimate	High Estimate
Tax Strategies Accountable Plan, home office, vehicle, QBI, Augusta Rule	\$9,600	\$15,000
Rivian Elimination \$800-1,200/month × 12 months	\$9,600	\$14,400
W-4 Withholding Optimization \$200-600/month × 12 months	\$2,400	\$7,200
Interest Avoided Paying 0% debts before expiration	\$1,600	\$1,800
Total Year-One Cash Flow Gain	\$23,200	\$38,400

Aggressive Scenario (\$38,400 - \$51,000)

If your household income is at the high end (\$280-299K) and you execute all strategies perfectly:

Source	Amount
Tax Strategies (higher income = higher tax savings)	\$15,000 - \$22,000
Rivian Elimination (full year at \$1,200/month)	\$14,400

Source	Amount
W-4 Withholding Optimization (higher income bracket)	\$5,000 - \$7,200
Interest Avoided (aggressive payoff)	\$3,000 - \$4,000
Expense Optimization (insurance, subscriptions, renegotiations)	\$1,000 - \$2,000
Total Year-One Cash Flow Gain	\$38,400 - \$51,000

***Critical Understanding:** This is not \$38-51K in "returns" or "income." This is cash that was being wasted on taxes, luxury car payments, and interest that you can now redirect to debt elimination. Think of it as plugging leaks in a sinking boat.*

Action Plan: What to Do This Week, This Month

This Week (Week of November 4, 2025)

1. **Monday:** Contact Rivian lender or lease company. Get payoff amount or early termination terms. Research instant cash offers (Carvana, CarMax, Vroom).
2. **Tuesday:** Open Bills, Spend, and Safety accounts online. Transfer initial \$500 to Safety account. Begin moving autopays to Bills.
3. **Wednesday:** Calculate exact monthly cash flow. Write down take-home pay (after taxes). List every fixed expense. Calculate surplus available for debt payoff.
4. **Thursday:** Call debt settlement company. Get answers on \$119K timeline, fee structure, and required monthly reserve amount.
5. **Friday:** Find balance transfer expiration date. Mark on calendar. Calculate required monthly payment to pay off before expiration. First Money Friday review.

This Month (November 2025)

- **Week 2:** Complete three-account system setup. All autopays moved to Bills. First \$1,000 in Safety account.
- **Week 2:** Open business checking for LLC. Connect bookkeeping software (QuickBooks Self-Employed or Zoho Books).
- **Week 3:** Create Accountable Plan document. Calculate business use percentages. Measure home office space.
- **Week 3:** Download mileage tracking app. Start logging business miles at \$0.70/mile.
- **Week 3:** Adjust W-4 using IRS Withholding Estimator. Submit to employer.
- **Week 4:** First Accountable Plan reimbursement from LLC to you.

- **Week 4:** Create debt payoff spreadsheet. Set up sinking funds for property tax and insurance.
- **Week 4:** Build Augusta Rule calendar for 2025 meetings.
- **End of Month:** Rivian sold or returned. Immediately redirect that \$800-1,200/month to balance transfer payoff.

Next 90 Days (November 2025 - January 2026)

Month	Key Milestones
November	• Rivian eliminated • Three accounts operational • LLC and bookkeeping set up • First \$1,000 emergency fund
December	• Emergency fund reaches \$2,000 • First full month attacking balance transfer • Monthly Accountable Plan reimbursements • W-4 adjustment reflected in paycheck • Augusta Rule prep for year-end tax benefit
January 2026	• Balance transfer 25% paid down (\$4,250 gone) • Emergency fund \$3,000 • Meet with CPA to review 2025 taxes and plan 2026 • Quarterly estimated tax payment planned (due April 15)

Professional Team Coordination

You cannot do this alone. You need the right advisors to execute this plan properly.

Essential Partners

Role	Why You Need Them	When to Engage
CPA Tax accountant familiar with 1099 income, LLCs, and small business	• W-4 withholding optimization • Quarterly estimated tax calculations • Year-end tax projection • Accountable Plan and Augusta Rule compliance • Tax return preparation	NOW - Book appointment this month for tax planning. Then quarterly check-ins.
Bookkeeper Monthly reconciliation and categorization	• Maintain audit-ready records • Reconcile all accounts monthly • Track mileage and receipts • Prepare financials for CPA • Catch errors early	Month 2 - Once LLC banking is set up. Monthly cadence.

Role	Why You Need Them	When to Engage
Debt Settlement Company Rep Your assigned counselor	• Timeline for remaining settlements • Fee structure clarity • Monthly reserve requirements • Negotiation updates	This week - Call to clarify fee and timeline questions.
Insurance Broker P&C specialist	• Review home and auto coverage • Add umbrella policy once debt clears • Business liability for LLC • Bundle for savings	Month 6 - After immediate debt crisis stabilized. You already negotiated policies in August, so revisit in Q2 2026.
Credit Union or Local Lender HELOC relationship	• HELOC application once credit recovered • Access to home equity for opportunities • Business line of credit eventually	Month 18+ - Once consumer debt is nearly cleared and you have emergency fund. Build relationship early but don't borrow yet.

Monthly Review Cadence

Frequency	Who	Purpose
Weekly	You (Money Friday)	10-minute review: check autopays, sweep extra to debt, update spreadsheet

Frequency	Who	Purpose
Monthly	Bookkeeper	Reconcile accounts, categorize transactions, prepare month-end summary
Quarterly	CPA	Tax projection, estimated payment calculation, strategy adjustments
Quarterly	Debt Settlement Company	Update on remaining settlements, adjust reserve payments if needed
Annually	All advisors	Comprehensive review, plan updates, celebrate progress

Key Milestones & Decision Gates

These are the major waypoints on your path to financial freedom.
Celebrate each one.

Milestone Map

Milestone	Target Date	Significance
Rivian Eliminated	November 2025	Stops the biggest cash bleed. Frees \$800-1,200/month. First major win.
\$2,000 Emergency Fund	December 2025	Small buffer to prevent new debt from minor emergencies.
Balance Transfer Eliminated	April 2026	\$17,000 paid off. Avoided paying interest when promo expired. Huge momentum builder.
\$5,000 Emergency Fund	July 2026	One month of expenses covered. Real safety net in place.
Chase Ink Eliminated	September 2026	\$4,500 paid off before 0% expired. Another win.
SoFi Personal Loan Eliminated	May 2027	\$13,207 paid off. Frees \$322/month. Three debts down.
Citi Settlement Complete	August 2027	Final Citi payment. Frees \$363/month. Total freed: \$685/month.
\$10,000 Emergency Fund	October 2027	Solid cushion. Almost debt-free.
All Unsettled Debts Paid	April 2028	Settlement program complete except final SoFi payments.

Milestone	Target Date	Significance
SoFi Settlement Complete	July 2028	FINAL PAYMENT. All consumer debt eliminated. Only mortgage remains.
Wealth Building Phase Begins	August 2028	\$2,029-2,429/month freed for Bitcoin, 529s, IRAs, real estate. True financial freedom begins.

Decision Gates

At these points, evaluate whether to adjust strategy:

Decision Point	When	Questions to Ask
W-2 Income Change	Anytime	Promotion? Job change? Immediately adjust W-4 and debt payoff plan. Update CPA on new income for estimated taxes.
1099 Income Surge	Quarterly	If 1099 income exceeds projections, increase estimated tax payments immediately. Increase debt payoff allocation. Don't lifestyle inflate.
Unexpected Windfall	Anytime	Tax refund, bonus, inheritance, sale proceeds? 100% to debt until Phase 3 complete.
Emergency Expense	Anytime	Use emergency fund (that's what it's for). Rebuild emergency fund before aggressive debt payoff resumes. Do NOT take on new debt.
Settlement Negotiated	As they happen	How much? Payment terms? Fee owed? Can you pay lump sum for bigger discount? Adjust debt payoff plan immediately.
Debt Milestone Hit	After each payoff	Celebrate! Then immediately redirect that monthly payment to next target debt.

Decision Point	When	Questions to Ask
		Update spreadsheet. Maintain momentum.
Phase 3 Complete	Mid-2028	Consumer debt gone. Emergency fund \$12K+. NOW ready for wealth building. Revisit investment strategy. Start Bitcoin DCA, 529s, Roths.

Compliance & Risk Management

Required Registrations

- **EIN:** Already have via LLC formation
- **State entity registration:** Verify LLC is in good standing, pay annual fees
- **Local business license:** Check if your city requires one for home-based LLC
- **Resale certificate:** Only if doing vending/resale business

Audit-Ready Documentation

Document Type	What to Keep	How Long
Accountable Plan	Policy document, monthly reimbursement requests with receipts, business use calculations, payment records	7 years
Augusta Rule	Meeting agendas, minutes, FMV comps (3 sources), invoices from LLC to you, payment records, attendee lists	7 years
Mileage Logs	Date, starting location, ending location, purpose, miles driven. Use app (MileIQ, Everlance) or spreadsheet	7 years

Document Type	What to Keep	How Long
Vehicle Records	Odometer reading at start/end of year, actual expenses if using actual method (gas, repairs, insurance, registration)	7 years
Home Office	Square footage calculation, photos showing dedicated space, actual expenses if using actual method	7 years
Business Expenses	All receipts over \$75, credit card statements, bank statements, invoices	7 years
Tax Returns	Personal (1040), business (Schedule C), all supporting schedules	7 years (IRS can audit 3 years back, 6 years if substantial underreporting)

Ongoing Compliance

- **Quarterly Estimated Taxes:** Due April 15, June 15, September 15, January 15. Don't miss these or pay penalties.
- **Monthly Reconciliations:** Bank accounts, credit cards, business expenses. Catch errors immediately.
- **Annual Information Returns:** 1099-NEC if LLC pays anyone over \$600, W-2 if you have employees (unlikely).
- **Business License Renewal:** Annual renewal if required in your jurisdiction.
- **LLC Annual Report:** File with state, pay annual franchise fee.

Insurance Review (Post-Debt)

After debt is under control (Phase 3+), review and upgrade insurance:

- **Term Life Insurance:** 10-20x annual income. Protect family if something happens to either of you.
- **Disability Insurance:** Replace 60-70% of income if you can't work. Critical for high earners.
- **Umbrella Liability:** \$1-2M umbrella policy once net worth grows. Cheap protection (\$200-400/year).
- **Business Liability:** General liability for LLC if doing cohosting, vending, or other business with public interaction.

December Tax Optimization Checklist

Execute these before December 31, 2025 to maximize Year 1 tax savings:

Two Weeks Before Year End

- ☐ Complete all 12-14 Augusta Rule meetings for 2025 (or as many as legitimately occurred). Invoice LLC, get paid before 12/31.
- ☐ Finalize November and December Accountable Plan reimbursements. Get paid from LLC before 12/31.
- ☐ Review actual vs simplified home office method. Calculate both, choose higher deduction.
- ☐ Export mileage log for entire year. Take photo of odometer on 12/31 showing ending mileage.
- ☐ Review any eligible business equipment purchases. If you need something and it's under \$2,500, buy before 12/31 to deduct immediately.
- ☐ Check if any 12-month prepaid expenses make sense (business insurance, software subscriptions if you'll use all year).

Final Week Actions

- ☐ Verify all receipts and documentation saved to organized folders (digital or physical). Separate by category: mileage, home office, accountable plan, augusta rule, equipment.
- ☐ Schedule appointment with CPA for January. Provide year-end summary of W-2 income, 1099 income estimate, major expenses, mileage total, augusta rule days.
- ☐ Confirm W-4 withholding for 2026. If you expect similar income, no change needed. If income changed significantly, adjust now.

- Plan 2026 Augusta Rule meetings calendar (do this annually).

Year-End Documentation Package for CPA

Prepare this package and send to your CPA by January 15, 2026:

- W-2 forms (both spouses)
- 1099-NEC forms (any 1099 income received)
- 1099-INT (interest income)
- 1099-DIV (dividend income)
- Accountable Plan: summary of reimbursements received, business use percentages
- Augusta Rule: list of meeting dates, agenda titles, FMV comps, total amount paid
- Mileage log: total business miles driven in 2025
- Home office: square footage, method chosen (simplified vs actual)
- Mortgage interest statement (Form 1098)
- Property tax bills paid in 2025
- Bank statements (business and personal)
- Credit card statements showing business expenses

Summary: Your Path Forward

You Can Do This

You're making \$200-299K. You have \$250K+ in retirement. You have \$200K+ in home equity. Your credit score is 760+. You are not broken. You just got buried in debt. Now you're digging out, systematically, over 24-36 months.

The Plan In One Page

Phase	Timeline	Key Actions	Goal
1. Stabilization	Months 1-6	Dump Rivian, build \$5K emergency fund, pay off \$17K balance transfer, implement tax strategies	Stop bleeding cash, build foundation
2. Elimination	Months 7-18	Pay off Chase Ink \$4.5K, pay off SoFi loan \$13.2K, settlements continue	Kill smaller debts, build momentum
3. Settlement Completion	Months 19-30	Citi settlement completes (Aug 2027), unsettled debts get negotiated and paid	Nearly debt-free, only SoFi settlement remains
4. Freedom	Months 31-36	SoFi settlement completes (July 2028), all consumer debt GONE	Only mortgage left, wealth building begins

Critical Success Factors

1. **Eliminate the Rivian.** This is non-negotiable. Luxury vehicle during debt crisis is financial suicide.

2. **Build and protect emergency fund.** \$5,000 minimum. This prevents new debt when life happens.
3. **Never miss a settlement payment.** Auto-pay the \$907/month. Missing a payment voids the settlement.
4. **Implement tax strategies immediately.** Don't wait. Every month you delay is cash left on the table.
5. **Track everything.** Mileage, receipts, expenses, debt payoff progress. What gets measured gets managed.
6. **Maintain weekly Money Friday.** 10 minutes every Friday. Non-negotiable accountability ritual.
7. **Don't lifestyle inflate.** As debts get paid off, redirect freed cash to next debt or emergency fund. Do NOT increase spending.
8. **Communicate with your spouse.** You're a team. Both need to be committed. Weekly money meetings.

What NOT To Do

- **✗** Start investing in Bitcoin, stocks, or real estate while in debt crisis
- **✗** Take on ANY new debt for ANY reason (except true emergency)
- **✗** Touch the \$250K in retirement accounts (penalties + taxes = disaster)
- **✗** Try to do STR/Airbnb arbitrage with 0-2 hrs/week and no capital
- **✗** Buy things "for the tax deduction" that you don't actually need
- **✗** Miss quarterly estimated tax payments (penalties compound)
- **✗** Give up after 6 months. This is a 24-36 month plan. Stay the course.

When You'll Know You've Made It

July 2028: You make the final \$544 payment to SoFi. All consumer debt is eliminated. You have \$12,000+ emergency fund. You have \$2,029-2,429/month in freed cash flow. Your credit score is 780+. Your net worth is positive and growing.

August 2028: You open a River account and start \$500/month Bitcoin DCA. You fund both kids' 529s at \$150/month each. You max both Roth IRAs at \$7,000/year. You put extra \$500/month toward mortgage principal. You're building real wealth.

That's when you win.

Next Steps

This week: Dump the Rivian. Set up three accounts. Call debt settlement company. Calculate cash flow.

This month: Execute the 30-day checklist completely. No shortcuts.

This year: Pay off \$17K balance transfer. Build \$5K emergency fund. Implement all tax strategies. See real progress.

Disclaimer

This wealth plan is for educational and informational purposes only. It is not legal, tax, investment, or financial advice. Tax strategies described should be reviewed with a qualified CPA or tax professional familiar with your specific situation. Investment allocations and strategies discussed are general concepts and may not be suitable for your circumstances. Past performance does not guarantee future results. All investments carry risk, including possible loss of principal. Debt settlement can negatively impact credit scores and may have tax consequences if forgiven debt exceeds certain thresholds. Consult appropriate licensed professionals (CPA, attorney, financial advisor, insurance broker) before implementing any strategy in this plan. The author is not responsible for any actions taken based on this plan.

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